AI RISK & ASSURANCE

Recognizing the Red Flags of Enterprise AI

Enterprise AI risk signals are often structural, not model-only. Programs fail when governance, evidence, and control accountability are not operationalized at delivery speed. This brief outlines a defensible operating pattern leaders can apply across risk, compliance, and engineering functions.

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AI Governance | Risk | Assurance

EXECUTIVE SUMMARY

The problem

Enterprise AI adoption is outpacing governance discipline in inventory, controls, and evidence operations.

The red flags

- Unmapped AI inventory and undefined ownership.
- Access control drift and uncontrolled privileges.
- No evidence lineage for decisions and exceptions.
- Monitoring blind spots for model performance drift.

Impact

Red flags create compounding exposure across security, compliance, and business continuity, especially during audit or incident escalation.

What leaders must do now

- Establish an enterprise AI inventory with named owners.
- Stand up evidence pipelines tied to control assertions.
- Enforce exception governance with approval and expiry discipline.

BOARD TAKEAWAYS

- ✓ No AI inventory means ungoverned risk. Operational proof: inventory coverage ratio; Metric: % assets registered.
- ✓ Evidence maturity defines audit confidence. Operational proof: sample-ready artifact packs; Metric: evidence availability %.
- ✓ Monitoring is a governance control, not just MLOps. Operational proof: drift threshold alerts + response tickets; Metric: monitoring coverage.
- ✓ Exceptions must be managed as first-class risk objects. Operational proof: approval/expiry logs; Metric: median approval lag.

ENGAGEMENT PATHWAY

1

Phase 1 (2-3 weeks): Baseline inventory + red flag baseline

Outputs: AI inventory register, evidence gap map.

2

Phase 2 (4-6 weeks): Evidence pipeline + monitoring

Outputs: decision log template, risk dashboard, KPI baseline.

3

Phase 3 (ongoing): Operating cadence + continuous improvement

Outputs: monthly executive risk brief, risk fence reviews.

Ready to act on this brief?

Request a 72-Hour Risk Snapshot or schedule a strategic consultation with 3HUE to operationalize these recommendations.

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